



National
Qualifications

X800/76/01

Accounting

Marking Instructions

Please note that these marking instructions have not been standardised based on candidate responses. You may therefore need to agree within your centre how to consistently mark an item if a candidate response is not covered by the marking instructions.



General marking principles for Higher Accounting

Always apply these general principles. Use them in conjunction with the specific marking instructions, which identify the key features required in candidates' responses.

- (a) Always use positive marking. This means candidates accumulate marks for the demonstration of relevant skills, knowledge and understanding; marks are not deducted for errors or omissions.
- (b) If a candidate response does not seem to be covered by either the principles or specific marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.
- (c) Always follow through consequentiality subsequent to a calculative error and give credit for any errors in subsequent calculations or working.
- (d) Mark scored out or erased working which has not been replaced, where still legible. However, if the scored out or erased working has been replaced, mark only the work which has not been scored out.
- (e) For **outline** questions, candidates must make a number of brief statements appropriate to the question asked. These may include facts, features or characteristics.

Up to the total mark allocation for this question

- award **1 mark** for each accurate statement

- (f) For **distinguish** questions, candidates must demonstrate knowledge of the differences between things, features, methods or choices. This does not need to be a comparative sentence.

Up to the total mark allocation for this question

- award **1 mark** for each accurate statement

- (g) For **explain** questions, candidates must make a number of points which relate cause and effect and/or make relationships between things clear, for example by showing connections between a process/situation. These may include theoretical concepts. There is no need to prioritise the reasons.

Up to the total mark allocation for this question

- award **1 mark** for each accurate explanation
- award **1 mark** for further development of an explanation, including exemplification where appropriate

- (h) For **describe** questions, candidates must make a number of relevant factual points, which may be characteristics and/or features, as appropriate to the question asked. These points may relate to a concept, process or situation. Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question

- award **1 mark** for each relevant factual point
- award **1 mark** for any further development of a relevant point, including exemplification when appropriate.

Marking instructions for each question

Section 1

Question			Expected response(s)				Max mark	Additional guidance																																								
1.	(a)		Profit or Loss on Revaluation <table><thead><tr><th></th><th><u>Old Value</u></th><th><u>New Value</u></th><th><u>Change</u></th><th></th></tr></thead><tbody><tr><td>Property</td><td>£80,000</td><td>£130,000</td><td>£50,000*</td><td></td></tr><tr><td>Vehicles</td><td>£40,000</td><td>£30,000</td><td>–£10,000*</td><td></td></tr><tr><td>Inventory</td><td>£8,000</td><td>£12,000</td><td>£4,000*</td><td></td></tr><tr><td>Trade Receivables</td><td>£9,000</td><td>£6,000</td><td>–£3,000*</td><td>*(2)</td></tr><tr><td>Increase in provision for Doubtful Debts</td><td></td><td></td><td>–£1,000</td><td>(1)</td></tr><tr><td>Revaluation Expenses</td><td></td><td></td><td>–£4,000</td><td rowspan="2">}</td></tr><tr><td><u>Profit on Revaluation</u></td><td></td><td></td><td>£36,000</td><td>(1)</td></tr></tbody></table>					<u>Old Value</u>	<u>New Value</u>	<u>Change</u>		Property	£80,000	£130,000	£50,000*		Vehicles	£40,000	£30,000	–£10,000*		Inventory	£8,000	£12,000	£4,000*		Trade Receivables	£9,000	£6,000	–£3,000*	*(2)	Increase in provision for Doubtful Debts			–£1,000	(1)	Revaluation Expenses			–£4,000	}	<u>Profit on Revaluation</u>			£36,000	(1)	4	*All correct 2 marks 3 correct 1 mark 2 or fewer correct 0 marks.
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	(b)		<u>Share of profit on revaluation</u> <table><tbody><tr><td>Donnelly</td><td>3/8</td><td>£13,500</td><td>(1)</td></tr><tr><td>Scott</td><td>5/8</td><td>£22,500</td><td>(1)</td></tr></tbody></table>				Donnelly	3/8	£13,500	(1)	Scott	5/8	£22,500	(1)	2																																	
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	(c)		<u>New profit sharing ratios</u> <table><tr><td>Donnelly</td><td>3/8 x 4/5</td><td>30%</td><td rowspan="3">] (2)</td></tr><tr><td>Scott</td><td>5/8 x 4/5</td><td>50%</td></tr><tr><td>Cahill</td><td>1/5</td><td>20%</td></tr></table>	Donnelly	3/8 x 4/5	30%	] (2)	Scott	5/8 x 4/5	50%	Cahill	1/5	20%	2	All or nothing																														
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	(e)		<u>Donnelly, Scott and Cahill</u> Income Statement for Year ended 31 December Year 2 ✓ <table> <tr> <td></td><td></td><td>£</td><td>£</td><td></td><td></td></tr> <tr> <td>Profit for the Year ✓</td><td></td><td></td><td>80,000*</td><td></td><td></td></tr> <tr> <td><u>Add Interest on Drawings ✓</u></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Donnelly</td><td>£5,000 x 5%</td><td>£250</td><td></td><td></td><td></td></tr> <tr> <td>Scott</td><td>£8,000 x 5%</td><td>£400</td><td></td><td></td><td></td></tr> <tr> <td>Cahill</td><td>£6,000 x 5%</td><td>£300</td><td>£950</td><td>(1)</td><td></td></tr> <tr> <td></td><td></td><td></td><td>£80,950</td><td></td><td></td></tr> <tr> <td><u>Less Interest on Equity ✓</u></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Donnelly</td><td>£93,100 x 10%</td><td>£9,310</td><td></td><td></td><td></td></tr> <tr> <td>Scott</td><td>£147,600 x 10%</td><td>£14,760</td><td></td><td></td><td></td></tr> <tr> <td>Cahill</td><td>£76,000 x 10%</td><td>£7,600</td><td>£31,670</td><td>(1)</td><td></td></tr> <tr> <td></td><td></td><td></td><td>£49,280</td><td></td><td></td></tr> <tr> <td><u>Less Salary ✓</u></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Donnelly</td><td></td><td></td><td>£2,000</td><td>(1)</td><td></td></tr> <tr> <td></td><td></td><td></td><td>£47,280</td><td></td><td></td></tr> <tr> <td><u>Share of Profit ✓</u></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Donnelly</td><td>£47,280 x 30%</td><td>£14,184</td><td></td><td></td><td></td></tr> <tr> <td>Scott</td><td>£47,280 x 50%</td><td>£23,640</td><td></td><td></td><td></td></tr> <tr> <td>Cahill</td><td>£47,280 x 20%</td><td>£9,456</td><td>£47,280</td><td>(1)</td><td></td></tr> </table> *Profit for the Year, heading, labels, arithmetic and no extraneous (1)			£	£			Profit for the Year ✓			80,000*			<u>Add Interest on Drawings ✓</u>						Donnelly	£5,000 x 5%	£250				Scott	£8,000 x 5%	£400				Cahill	£6,000 x 5%	£300	£950	(1)					£80,950			<u>Less Interest on Equity ✓</u>						Donnelly	£93,100 x 10%	£9,310				Scott	£147,600 x 10%	£14,760				Cahill	£76,000 x 10%	£7,600	£31,670	(1)					£49,280			<u>Less Salary ✓</u>						Donnelly			£2,000	(1)					£47,280			<u>Share of Profit ✓</u>						Donnelly	£47,280 x 30%	£14,184				Scott	£47,280 x 50%	£23,640				Cahill	£47,280 x 20%	£9,456	£47,280	(1)		5	
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Question		Expected response(s)					Max mark	Additional guidance
	(g)	Statement of Financial Position as at 31 December Year 2 ✓					13	All 3 figures must be shown to gain award for each non-current asset.
			£ At Cost	£ Agg Depn	£ NBV			
		NON-CURRENT ASSETS ✓						
		Property	330,000	(20,000)	350,000	(1)		
		Vehicles	30,000	5,000	25,000	(1)		
		Equipment	20,000	2,000	18,000	(1)		
					393,000			
		Investments			90,000	(1)		
					483,000			
		CURRENT ASSETS ✓						
		Closing Inventory		35,700		*		
		Trade Receivables (7500 - 750)		6,750		(1)		
		Electricity Receivable		3,500		*(1)		
				45,950				
		LESS CURRENT LIABILITIES ✓						
		Trade Payables	16,000					
		Cash & Cash Equivalents	12,500					
		Wages Payable	2,050	30,550		(2)		
		Working Equity			15,400			
		Net Assets Employed			498,400			
		LESS NON-CURRENT LIABILITIES ✓						
		Mortgage			100,000	(1)		
		Net Assets			398,400			
		EQUITY ✓						
		Equity Accounts						
		Donnelly		93,100				
		Scott		147,600		(1)		
		Cahill		76,000	316,700			

All correct 2 marks
2 correct 1 mark
1 correct 0 marks

Question			Expected response(s)			Max mark	Additional guidance
			£ At Cost	£ Agg Depn	£ NBV		* 1 mark for current account balances of all 3 partners.
			Current Accounts				
			Donnelly	23,344	*		
			Scott	27,600	*		
			Cahill	10,756	*(1)		
					61,700		
					378,400		
			Revaluation reserve		20,000	(1)	
					398,400		
			Headings, arithmetic and no extraneous (1)				
	(h)		- Increased equity is introduced to the business (1) - More expertise or specialist knowledge (1) - Workload can be shared (1) - May allow expansion of the business (1) - Eliminates competition when skills and resources are combined (1)			2	

Question			Expected response(s)						Max mark	Additional guidance																																										
2. PART A			Production Budget ✓ <table><tr><td></td><td>July</td><td>August</td><td>Sept</td><td>Oct</td><td>Nov</td><td></td></tr><tr><td>Sales</td><td>2,500</td><td>2,800</td><td>3,400</td><td>6,200</td><td>5,000</td><td></td></tr><tr><td>Less Opening Inventory</td><td>500</td><td>560</td><td>680</td><td>1,240</td><td>1,000</td><td>(1)</td></tr><tr><td></td><td>2,000</td><td>2,240</td><td>2,720</td><td>4,960</td><td>4,000</td><td></td></tr><tr><td>Add Closing Inventory</td><td>560</td><td>680</td><td>1,240</td><td>1,000</td><td>1,020</td><td>(1)</td></tr><tr><td>Production</td><td>2,560</td><td>2,920</td><td>3,960</td><td>5,960</td><td>5,020</td><td>(1)*</td></tr></table>							July	August	Sept	Oct	Nov		Sales	2,500	2,800	3,400	6,200	5,000		Less Opening Inventory	500	560	680	1,240	1,000	(1)		2,000	2,240	2,720	4,960	4,000		Add Closing Inventory	560	680	1,240	1,000	1,020	(1)	Production	2,560	2,920	3,960	5,960	5,020	(1)*	3	* 1 mark for production total, heading and correct sales figures.
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	(b)		• Sell preference shares where a fixed dividend is received in return for investing in the company (1) • Sell ordinary shares in return for a share of the profits in the form of a variable dividend (1) a successful year means high dividend/poor year no or low dividend (1) • Debentures - issue of loan/with fixed annual interest (1)						3																																											

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	(c)	(i)	Baking Process Account ✓ <table><thead><tr><th></th><th colspan="3">Input</th><th colspan="3">Output</th><th colspan="3">Balance</th><th></th></tr><tr><th></th><th>Qty</th><th>CPU</th><th>Value</th><th>Qty</th><th>CPU</th><th>Value</th><th>Qty</th><th>CPU</th><th>Value</th><th></th></tr></thead><tbody><tr><td>Opening WIP</td><td>500</td><td>1.20</td><td>600.00</td><td></td><td></td><td></td><td>500</td><td></td><td>600.00</td><td>(1)</td></tr><tr><td>Materials</td><td>1,500</td><td>0.50</td><td>500.00</td><td></td><td></td><td></td><td>1,000</td><td></td><td>1,100.00</td><td></td></tr><tr><td>Labour</td><td></td><td></td><td>5,200.00</td><td></td><td></td><td></td><td></td><td></td><td>6,300.00</td><td>(1)</td></tr><tr><td>Variable Overheads</td><td></td><td></td><td>800.00</td><td></td><td></td><td></td><td></td><td></td><td>7,100.00</td><td></td></tr><tr><td>Fixed Overheads</td><td></td><td></td><td>1,040.00</td><td></td><td></td><td></td><td></td><td></td><td>8,140.00</td><td>(1)</td></tr><tr><td>Normal Loss</td><td></td><td></td><td></td><td>75</td><td>0.20</td><td>15.00</td><td>1,425</td><td></td><td>8,125.00</td><td>(1)</td></tr><tr><td>Closing WIP</td><td></td><td></td><td></td><td>425</td><td></td><td>2,125.00</td><td>1,000</td><td>6.00</td><td>6,000.00</td><td>(1)</td></tr><tr><td>Good Output</td><td></td><td></td><td></td><td>900</td><td>6.00*</td><td>5,400.00</td><td>100</td><td></td><td>600.00</td><td></td></tr><tr><td>Abnormal Loss</td><td></td><td></td><td></td><td>100</td><td>6.00*</td><td>600.00</td><td></td><td></td><td>0.00</td><td>(2)*</td></tr></tbody></table>											Input			Output			Balance					Qty	CPU	Value	Qty	CPU	Value	Qty	CPU	Value		Opening WIP	500	1.20	600.00				500		600.00	(1)	Materials	1,500	0.50	500.00				1,000		1,100.00		Labour			5,200.00						6,300.00	(1)	Variable Overheads			800.00						7,100.00		Fixed Overheads			1,040.00						8,140.00	(1)	Normal Loss				75	0.20	15.00	1,425		8,125.00	(1)	Closing WIP				425		2,125.00	1,000	6.00	6,000.00	(1)	Good Output				900	6.00*	5,400.00	100		600.00		Abnormal Loss				100	6.00*	600.00			0.00	(2)*	7	If complete reversal or not shown as an account, award 3 marks. DNA 1 mark max, if nomenclature error. DNA 1 mark, if any quantity is entered other than materials. Normal loss must be based on input material quantity. * If CPU is calculated correctly and applied to both Finished Goods and Abnormal Loss but Balance is incorrect, award 1 mark.
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Cash & Cash Equivalents				100	0·20	20·00			580·00	(1)																																																										
Income Statement						580·00			0	(1)																																																										
	(d)		Margin is profit on selling price whereas mark-up is profit on cost price. (1)									1																																																								

Question			Expected response(s)						Max mark	Additional guidance																																	
			<table><tr><td>Office and Admin (3,000 x 12)</td><td>36,000</td><td>(1)</td><td></td><td></td></tr><tr><td>Garage Rental (2,250 x 4)</td><td>9,000</td><td>(1)</td><td>45,000</td><td></td></tr><tr><td>Fuel ((10 x 500 x 52) (1) / 13) x £1.35 (1)</td><td>27,000</td><td></td><td></td><td></td></tr><tr><td>Insurance</td><td>52,250</td><td rowspan="3">}</td><td></td><td></td></tr><tr><td>Licensing</td><td>7,950</td><td></td><td></td></tr><tr><td>Maintenance and Repairs</td><td>59,700</td><td>146,900</td><td>(1)</td></tr><tr><td>TOTAL RUNNING COSTS ✓</td><td></td><td></td><td>901,900</td><td></td></tr></table>						Office and Admin (3,000 x 12)	36,000	(1)			Garage Rental (2,250 x 4)	9,000	(1)	45,000		Fuel ((10 x 500 x 52) (1) / 13) x £1.35 (1)	27,000				Insurance	52,250	}			Licensing	7,950			Maintenance and Repairs	59,700	146,900	(1)	TOTAL RUNNING COSTS ✓			901,900			
Office and Admin (3,000 x 12)	36,000	(1)																																									
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			Heading, label and arithmetic (1)																																								
	(b)	(i)	<table><tr><td>Passenger Miles (45 x 0.8 x 500 x 52 x 10) = 9,360,000 passenger miles</td><td>(2)</td></tr></table>						Passenger Miles (45 x 0.8 x 500 x 52 x 10) = 9,360,000 passenger miles	(2)	2	Award 1 mark if any single part of the calculation is missing.																															
Passenger Miles (45 x 0.8 x 500 x 52 x 10) = 9,360,000 passenger miles	(2)																																										
		(ii)	<table><tr><td>Sales Income (9,360,000 x £0.20)</td><td>£1,872,000</td><td></td><td></td><td></td></tr><tr><td>less: Costs</td><td>£901,900</td><td></td><td></td><td></td></tr><tr><td>Estimated Profit</td><td>£970,100</td><td></td><td></td><td>(1)</td></tr></table>						Sales Income (9,360,000 x £0.20)	£1,872,000				less: Costs	£901,900				Estimated Profit	£970,100			(1)	1	Award mark for entry of costs data and calculation of profit with arithmetic accuracy. Be aware of consequentiality.																		
Sales Income (9,360,000 x £0.20)	£1,872,000																																										
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Estimated Profit	£970,100			(1)																																							

Section 2

Question			Expected response(s)										Max mark	Additional guidance
3. PART A			Inventory Record Card for Component KFC01 ✓										6	* Award 1 mark for correct heading and opening balance. If date/details column not included, do not award first available mark.
					Receipts				Issues			Balance		
			Date	Details	Qty	Price £	Value £	Qty	Price £	Value	Qty	Price £	Value £	
			01/09	Opening balance							2,500	6·00	15,000	
			07/09	Purchases	1,500	6·40	9,600				4,000	6·15	24,600	
			12/09	Issue to Job 307				1,000	6·15	6,150	3,000	6·15	18,450	
			15/09	Purchases	2,000	6·95	13,900				5,000	6·47	32,350	
			17/09	Returns				200	6·95	1,390	4,800	6·45	30,960	
			24/09	Issue to Job 310				1,200	6·45	7,740	3,600	6·45	23,220	

Question			Expected response(s)	Max mark	Additional guidance												
3. PART B																	
	(a)		<table><tr><td></td><td>Andrews plc</td><td>Bhuvan plc</td></tr><tr><td>Fixed Interest Funding</td><td>750,000+2,000,000</td><td>2,500,000+3,000,000</td></tr><tr><td>Ordinary Shares</td><td>2,750,000</td><td>2,000,000</td></tr><tr><td>Gearing</td><td>1:1</td><td>2.75:1</td></tr></table>		Andrews plc	Bhuvan plc	Fixed Interest Funding	750,000+2,000,000	2,500,000+3,000,000	Ordinary Shares	2,750,000	2,000,000	Gearing	1:1	2.75:1	2	1 mark for Andrews; 1 mark for Bhuvan
	Andrews plc	Bhuvan plc															
Fixed Interest Funding	750,000+2,000,000	2,500,000+3,000,000															
Ordinary Shares	2,750,000	2,000,000															
Gearing	1:1	2.75:1															
	(b)	(i)	<table><tr><td></td><td>Andrews plc</td></tr><tr><td>Fixed Interest Funding</td><td>3,500,000+2,000,000</td></tr><tr><td>Ordinary Shares</td><td>2,750,000</td></tr><tr><td>Gearing</td><td>2:1 (1)</td></tr></table>		Andrews plc	Fixed Interest Funding	3,500,000+2,000,000	Ordinary Shares	2,750,000	Gearing	2:1 (1)	1					
	Andrews plc																
Fixed Interest Funding	3,500,000+2,000,000																
Ordinary Shares	2,750,000																
Gearing	2:1 (1)																
		(ii)	The ordinary shareholders will receive a lower rate of return as there will be less profit available for payment to ordinary shareholders (due to the increased number of preference shareholders). (1) Ordinary shareholders stand to possibly lose out in periods of lower profits as there are more shareholders to receive a share of the profits. (1) However, in periods of higher profits the ordinary shareholders would stand to benefit as there would be more profit available for distribution to them. (1)	1	Accept either an impact when profits are low or when profits are high.												

Question			Expected response(s)	Max mark	Additional guidance																												
(c)	(i)	<table><tr><td colspan="3">Profit available for distribution to ordinary shareholders</td></tr><tr><td></td><td>Bhuvan plc</td><td></td></tr><tr><td>Profit for Year before finance cost and taxation</td><td>£1,750,000</td><td></td></tr><tr><td>Less Debenture Finance Cost</td><td>£150,000</td><td>(1)</td></tr><tr><td></td><td>£1,600,000</td><td></td></tr><tr><td>Less Corporation tax (25%)</td><td>£400,000</td><td>(1)</td></tr><tr><td>Profit for Year after taxation</td><td>£1,200,000</td><td></td></tr><tr><td>Less Preference Dividends (8%)</td><td>£200,000</td><td rowspan="2">]</td></tr><tr><td>Profit available to Ordinary Shareholders</td><td>£1,000,000</td><td>(1)</td></tr></table>			Profit available for distribution to ordinary shareholders				Bhuvan plc		Profit for Year before finance cost and taxation	£1,750,000		Less Debenture Finance Cost	£150,000	(1)		£1,600,000		Less Corporation tax (25%)	£400,000	(1)	Profit for Year after taxation	£1,200,000		Less Preference Dividends (8%)	£200,000	]	Profit available to Ordinary Shareholders	£1,000,000	(1)	3	
		Profit available for distribution to ordinary shareholders																															
			Bhuvan plc																														
		Profit for Year before finance cost and taxation	£1,750,000																														
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Profit available to Ordinary Shareholders	£1,000,000	(1)																															
(ii)	<table><tr><td>Profit available to Ordinary Shareholders</td><td>£1,000,000</td><td></td></tr><tr><td>Retained Profit (60%)</td><td>£600,000</td><td></td></tr><tr><td>Total dividend paid to ordinary shareholders</td><td>£400,000</td><td>(2)</td></tr></table>			Profit available to Ordinary Shareholders	£1,000,000		Retained Profit (60%)	£600,000		Total dividend paid to ordinary shareholders	£400,000	(2)	2	All or nothing.																			
	Profit available to Ordinary Shareholders	£1,000,000																															
	Retained Profit (60%)	£600,000																															
	Total dividend paid to ordinary shareholders	£400,000	(2)																														

Question			Expected response(s)	Max mark	Additional guidance
		(iii)	Total percentage dividend to be paid to shareholders $\frac{\text{Total dividend paid}}{\text{Ordinary Share Equity}} \times 100 = \frac{£400,000}{2,000,000} \times 100$ 20% (1)	1	
		(iv)	Ordinary Dividend per share = Total dividend paid/number of ordinary shares $\frac{£400,000}{4,000,000}$ 10p (1)	1	
		(v)	$\frac{\text{Profit for the Year after Tax and Preference Dividends}}{\text{Number of Ordinary Shares}} = \frac{£1,000,000}{4,000,000}$ Earnings per share £0.25 (1)	1	
	(d)	(i)	Price Earnings Ratio x Earnings per Share 7.4 times x 25p Market Price per share £1.85 (1)	1	
		(ii)	$\frac{\text{Ordinary dividend per share}}{\text{Market Price per share}} \times 100 = \frac{£0.10}{£1.85} \times 100$ Dividend Yield 5.41% (1)	1	

Question			Expected response(s)	Max mark	Additional guidance
4.	(a)	(i)	<u>Profits earned for Project 1 = cash inflow - depreciation charge</u> Depreciation = (initial investment - residual value)/life of project Project 1 = (£305,000 - £80,000)/5 = £45,000 per annum (2) Profit earned Year 1 (£132,000-£45,000) = £87,000 Year 2 (£104,000-£45,000) = £59,000 Year 3 (£82,000-£45,000) = £37,000 Year 4 (£71,750-£45,000) = £26,750 Year 5 (£64,000-£45,000) = £19,000 } (1) <u>Profits earned for Project 2 = cash inflow - depreciation charge</u> Depreciation = (initial investment - residual value)/life of project Project 2 = (£220,000 - £100,000)/5 = £24,000 per annum (2) Profit earned Year 1 (£150,000-£24,000) = £126,000 Year 2 (£60,000-£24,000) = £36,000 Year 3 (£40,000-£24,000) = £16,000 Year 4 (£36,000-£24,000) = £12,000 Year 5 (£32,000-£24,000) = £8,000 } (1)	6	If Depreciation is missing award 2 marks.

Question		Expected response(s)	Max mark	Additional guidance																																				
	(ii)	<u>Accounting Rate of Return (ARR)</u> Project 1 Average profits $(87,000+59,000+37,000+26,750+19,000)/5 = £45,750$ (1) ARR = $£45,750/£305,000 = 15\%$ (1) Project 2 Average profits $(126,000+36,000+16,000+12,000+8,000)/5 = £39,600$ (1) ARR = $£39,600/£220,000 = 18\%$ (1) <u>Payback</u> Project 1 – investment £305,000 <table><tr><th></th><th>Inflows</th><th>Cumulative inflows</th></tr><tr><td>Year 1</td><td>£132,000</td><td>£132,000</td></tr><tr><td>Year 2</td><td>£104,000</td><td>£236,000</td></tr><tr><td>Year 3</td><td>£82,000</td><td>£318,000</td></tr><tr><td>Year 4</td><td>£71,750</td><td></td></tr><tr><td>Year 5</td><td>£64,000</td><td></td></tr></table> Payback in Year 3 To nearest day: 2 years plus $(£69,000(1)/£82,000$ (1) *365 days) = 2 years 308 days (1) Project 2 - investment £220,000 <table><tr><th></th><th>Inflows</th><th>Cumulative inflows</th></tr><tr><td>Year 1</td><td>£150,000</td><td>£150,000</td></tr><tr><td>Year 2</td><td>£60,000</td><td>£210,000</td></tr><tr><td>Year 3</td><td>£40,000</td><td>£250,000</td></tr><tr><td>Year 4</td><td>£36,000</td><td></td></tr><tr><td>Year 5</td><td>£32,000</td><td></td></tr></table> Payback in Year 3 To nearest day: 2 years plus $(£10,000(1)/£40,000$ (1) *365 days) = 2 years 92 days (1)		Inflows	Cumulative inflows	Year 1	£132,000	£132,000	Year 2	£104,000	£236,000	Year 3	£82,000	£318,000	Year 4	£71,750		Year 5	£64,000			Inflows	Cumulative inflows	Year 1	£150,000	£150,000	Year 2	£60,000	£210,000	Year 3	£40,000	£250,000	Year 4	£36,000		Year 5	£32,000		10	
	Inflows	Cumulative inflows																																						
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Question			Expected response(s)	Max mark	Additional guidance
		(iii)	Project 2 should be chosen because ARR is highest (1) or paid back more quickly (1).	1	
	(b)		Advantages of Accounting Rate of Return • ARR is easy to understand and simple to calculate • ARR focuses on the overall profit generated by the project • It is similar to other accounting ratios used for making comparisons Disadvantages of Accounting Rate of Return • Timings of cash inflows are ignored • ARR ignores the time value of money • ARR only focuses on total profit over the life of the project • No benchmark/guidelines of what is an acceptable rate of return • Where time scales are different, the ARR is not suitable • ARR is not suitable for comparing projects with different investment amounts • Profit for year can be subject to different definitions • The benefits of high profits in the earlier years is ignored	3	2 marks maximum for advantages. 1 mark maximum for disadvantages.

[END OF MARKING INSTRUCTIONS]